



Business plans

Writing a business plan is one of the most important steps in developing a start-up. The plan sets out the new business's goals, market analysis, and projected income and profit.

How it works

Before a start-up entrepreneur can write a business plan, they need to have done enough research to identify a clear opportunity in the market for the product or service, and to define how the proposed

new business will be uniquely positioned to capture that market, given the services or products offered. An outline of existing finances and an accurate projection of sales and profit are essential components, especially if seeking external funding.

Key elements

Preparing a business plan can take several weeks, and it is worth doing thoroughly. It is a vital document for securing funding, so the financial forecast must be both realistic and accurate. If showing it to others, pare the executive summary down to two pages, write it in plain English, and explain any technical terms.

Start-ups in the US are **2.5x** more likely to go into business if they have a written plan

Executive summary

Fill in this section last, bearing in mind that it may be the only part a busy person reads:

- › **Business summary** Company structure, name, product or service, and customer profile
- › **Business goals** Three objectives over one, three, and five years
- › **Financial summary** Expected sales and costs, and funding
- › **Elevator pitch** Two-minute talk to sell your idea to a customer

Products and services

Describe what the business is going to sell:

- › **Product or service** With a picture if product is new
- › **Range** If more than one, such as garden design and maintenance
- › **How it is different** What makes the product or service stand out from the crowd?

Marketing strategy

Choose about three of these methods:

- › **Word of mouth**
- › **Advertising**

Business background

Provide details of each person in the business:

- › **Experience** Relevant work carried out to date
- › **Qualifications** Credentials, such as diploma in horticulture for a gardening service
- › **Training** Past and future, including business skills such as assertiveness

The market

Set out specific details of your potential market:

- › **Typical customer** Businesses or individuals and their profile; local, national, or international
- › **Market research** What the local market is for similar products or services

- › **Business literature**
- › **Direct marketing**
- › **Social media**
- › **Website**